

higher monthly premium in exchange for extensive coverage. But if you are someone who rarely needs medical treatment, has a healthy lifestyle, and does not engage in risky activities, it may be best to choose a plan with a lower premium and higher deductible—because why would you want to pay a high monthly premium if you're not likely to use the services?

Auto Insurance

Unless you live in Alaska, Virginia or New Hampshire, it is illegal to drive a car without auto insurance in the United States.⁵⁸ Alaska allows some of its residents to go without insurance if they live in extremely remote parts of the state, and I honestly have no idea why Virginia and New Hampshire do not require their drivers to have insurance. Even if you do live in one of these states, you need insurance.

Driving without insurance can have serious consequences. If you are caught without car insurance, you can be fined, have your license suspended, have your car impounded, or even spend time in jail.⁵⁹ The punishment you will receive is determined by the state you live in, but the lesson is universal: do not drive without insurance.

On the financial side of auto insurance, you need to know that there are many factors that can affect your premium. Younger people, for instance, cost much more to insure than older people, because they often engage in riskier behavior when driving. When I was 16, I used to drive my old truck as fast as I could over

58 Emily Delbridge, "These States Do Not Require Auto Insurance," The Balance, July 23, 2020, <https://www.thebalance.com/states-with-no-car-insurance-requirements-4121731>.

59 "What Is the Penalty for Driving Without Insurance?," DaveRamsey.com, July 1, 2019, <https://www.daveramsey.com/blog/driving-without-insurance>.